

# Tax Compliance Memo — FY 2081/82

**To:** CFO

**From:** Tax Advisor

**Re:** Tax compliance status — FY 2081/82

**Date:** 2082-04-20

## 1. Income tax

Provisional self-assessment for income tax has been computed at NPR 1.81 crore. The Company has paid advance tax of NPR 1.65 crore. Balance tax of NPR 16 lakh is payable by 2082-06-30 along with the annual return.

## 2. VAT

Monthly VAT returns are up to date. Input credit reconciliation between the GL VAT-Receivable account and the IRD portal is current except for Ashad (NPR 2.3 lakh under review).

## 3. TDS

TDS deductions on rent, contractor payments and professional fees are reconciled monthly. Two cases of late deposit (Mangsir and Magh) attracted penalty of NPR 14,500 in total, which has been paid.

## 4. Open exposures

| Issue                                         | Estimated exposure (NPR) | Status                        |
|-----------------------------------------------|--------------------------|-------------------------------|
| VAT input credit on capital goods — IRD query | 8,50,000                 | Reply filed; awaiting hearing |
| Transfer pricing on related party purchases   | Indeterminate            | Documentation to be prepared  |
| Income tax assessment — FY 2079/80            | 12,00,000                | Appeal pending                |

## 5. Recommendations

(a) Document the transfer-pricing basis for all related party transactions before 2082-06-15. (b) Set up an automated TDS deposit reminder. (c) Consider obtaining an advance ruling on the capital-goods input credit question.

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